

Convex optimization - Project 5

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a)

$$\max C_{T+1}$$

$$\text{s.t. } C_t \geq 0 \quad t=1, \dots, T$$

$$C_{t+1} = C_t - \ell_t - F_t + G_t \quad t=1, \dots, T$$

$$z_{tk} \geq 0 \quad t=1, \dots, T, \quad k=1, \dots, K$$

$$z_{tk} = 0 \quad t + m_k > T$$

$$F_t = \sum_{k=1}^K z_{tk} \quad t=1, \dots, T$$

$$G_t = \sum_{z+m_k=t} z_{zk} (1+r_k)^{m_k} \quad z \in \{1, \dots, T-1\}$$

b) Code is attached.